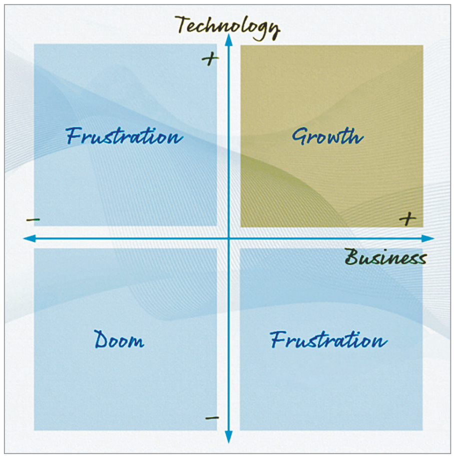
Three Reasons Why Your AI Program May Be at Risk



Balancing technology and business—The Sanity Model

The author has worked with over 85+ businesses of various sizes for the last twenty years. In doing so, he has seen a characteristic pattern that differentiates the best from the rest. His Sanity Model here tries to explain it in a more understandable form. In this model, a business must walk the fine line to remain in the safe zone of growth

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The technology-first approach can be a definite way to upset customers. Therefore, the right balance is often necessary for remaining customer-first company.

Many businesses get carried away by the latest smart technology. Tech vendors make them believe that it can be used to solve every problem out there. Emerging technologies are new hammers, avoid treating all the issues as nails.

Deliberate efforts, coupled with thoughtful steps, often yield long-lasting and positive results. The approach is critical because it is quite challenging to undo a strategic or technological mistake these days.

In any organisation, there are two groups. One belongs and subscribes to the management and business aspects of the company. The other favours technological aspects. And often, there is a gap and philosophical differences between these groups.

The tech-tribe often favours solutions, improving efficiency, depends on work-roadmap, wants speed, and needs investment. However, the preference for the business-tribe is to focus on problems. They have a customer-facing approach and want to improve the effectiveness of the business overall. Their preference is for immediate fixes over proper solutions, and they seek profits.

Sanity Model explained

The outcome is growth (the 1st quadrant in Sanity Model) if there is a right balance of business and tech-sense. A business would see consistent and sustainable growth along the sanity line. A slight imbalance usually results in a minor nuisance or shift of focus. However, as long as you are on top of it, it is okay. Understand the need to restore the balance and have a plan to do that.

The exact opposite of this situation is a combination of lousy business-sense and tech-sense, which is undoubtedly a good recipe for doom (the 3rd quadrant).

The other two quadrants represent the lack of either. Either the business has excellent tech-sense but poor business-sense, or it is the opposite. In each case, one tribe is frustrated due to the other. Also, most importantly, the customer, in both cases, would be frustrated and get close to no value from the business' product or service. Being there for a long time usually pushes the company into the doom quadrant.

We know of several organisations or brands, which we like in general but always wish they used better technologies to serve us (Q4 types). There are also several examples of technology implementations where they did not honour the business aspect. These implementations have either seen an outright failure or have a low yield (Q2 types).

You can pick up any brand you deal with regularly, or know of, and try to put them in this model. You will observe a pattern too.

Here are a few examples

A well-known example of a company that could fit in Q2 (only good tech-sense) would be Nokia. We all loved Nokia phones at one point in time; however, business-sense did not prevail (soon enough) in favour of customers. Unfortunately,